

Indicators of Demand

The ultimate objective for both B2B and B2C businesses is to understand the end-customer demand based on the demographics of the customer segment and the buying environment and then stay ahead of the same.



Forecasting demand is an exercise to collect cues and trends from multiple sources.



Then they are compiled together to form an analysis or forecast of the demand from the end consumer.

These hints are indicators of demand and they help the entrepreneurs stay ahead of the demand.

One of the most important indicators of demand is the **demand forecast** and **demand scenario for the suppliers and distributors** in the value chain.

- The inventory levels help to identify the demand scenario.
- The industry demand is highly co-related as they cater to the same end-customer demand.
- The demand forecast can be identified by the communication from the management of these companies.
- Demand can be tracked by their staff recruitment in recent times, outgoing and incoming logistics, and capacity additions.

However, getting all the requisite information about the industries and companies is a challenge, and entrepreneurs need to resort to creative practices to get the required information.